INDEPENDENT CONSULTING CASE STUDY

# Operating Model Transformation: Okta

*Scaling for Profitable Growth*

*A strategy-less assessment of how Okta can preserve its operating leverage while scaling a more global, specialized, and partner-enabled organization.*

**Prepared by Emily McMahon**
MBA, University of Florida | M.S. Business Analytics Candidate

*Financial and operating data sourced from Okta, Inc.'s FY2026 Form 10-K (SEC EDGAR). This project is an independent analysis and is not affiliated with or endorsed by Okta, Inc.*

EXECUTIVE SUMMARY

# Cost discipline built Okta's profitability. Resumed growth now tests it.

From FY2024 to FY2026, Okta cut operating expenses from 97% to 72% of revenue and turned a $516M operating loss into $149M of operating income. That gain came largely from cost control and restructuring — both one-time levers. Headcount growth has now resumed, the workforce is rapidly globalizing, and delivery is shifting toward partners. Sustaining the last three years' efficiency gains requires an operating model built for scale, not another round of cuts.

**97% → 72%**
Opex as % of revenue, FY24–FY26

**-22.8% → 5.1%**
Operating margin, FY24–FY26

**+7.6%**
Headcount growth resumed in FY26

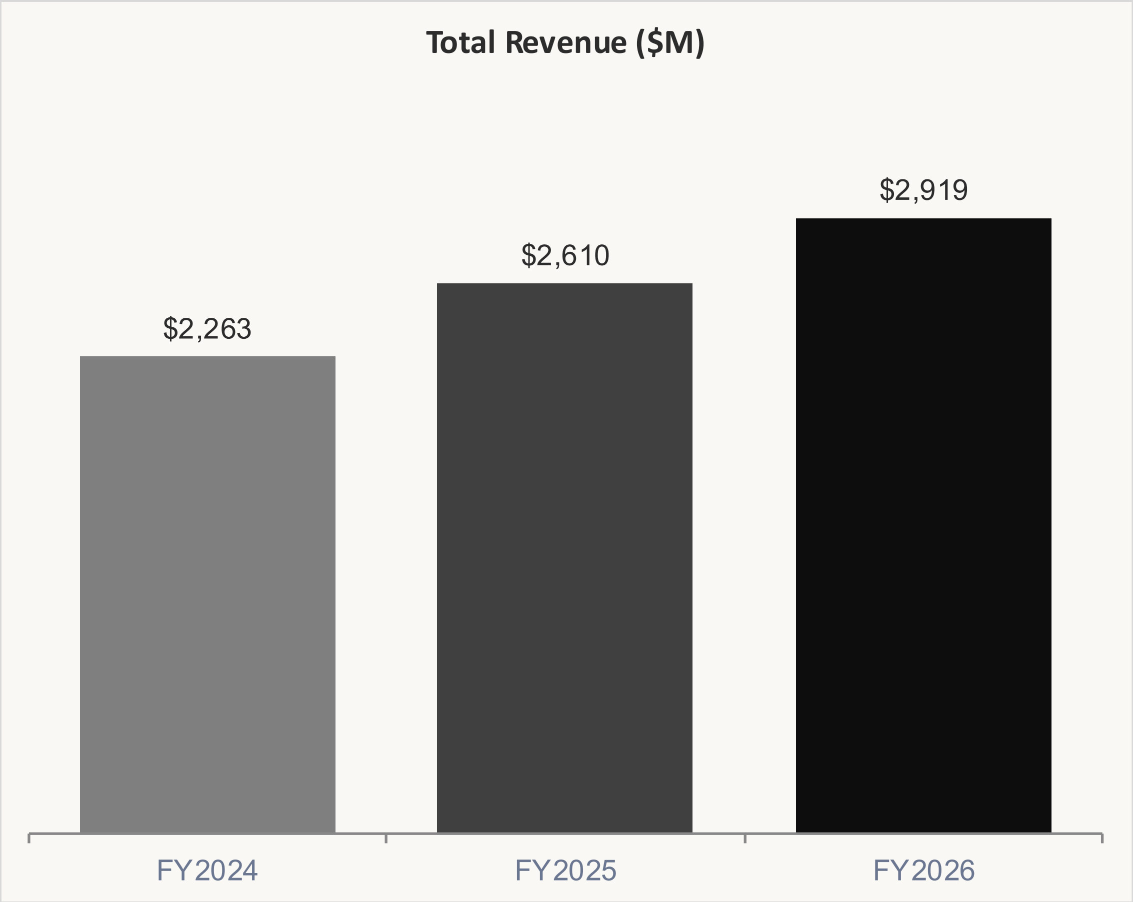
**33% → 44%**
Share of employees international

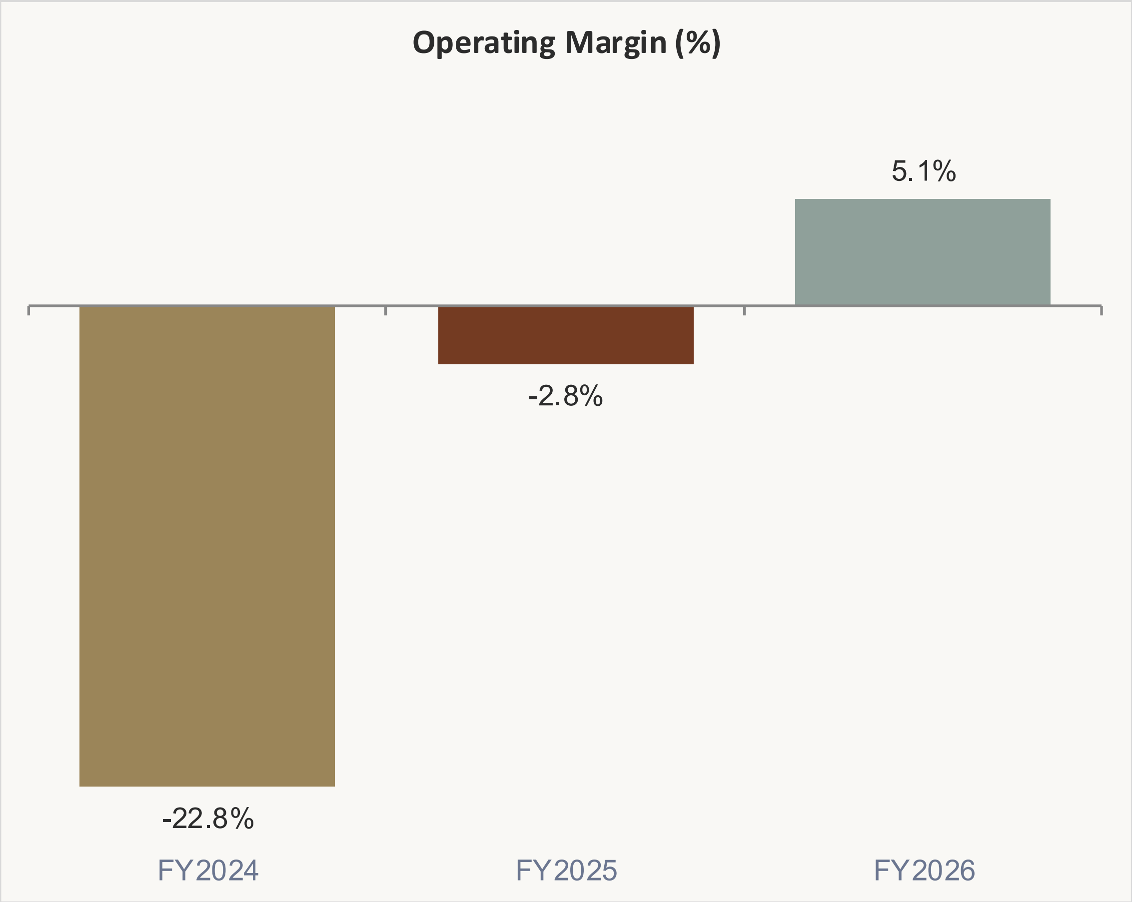
CASE OBJECTIVE: **Build an operating model — across People, Process, Governance, and Technology — capable of supporting its next phase of profitable growth.**

Assess → Diagnose → Design → Implement

# Three years of operating leverage

Operating expenses fell from 97.1% to 72.3% of revenue over the period, while gross margin expanded from 74.3% to 77.4% and Revenue-per-employee rose from $0.38M to $0.46M.




Source: Okta, Inc. FY2026 Form 10-K, consolidated statements of operations.

# Growth is reintroducing the complexity efficiency gains just removed

### 01 Workforce growth has resumed

Employees grew from 5,914 to 6,366 in FY26 (+7.6%), after two years of near-flat headcount.

### 02 The organization is rapidly globalizing

International employees rose from 33% to 44% of the workforce between FY24 and FY26.

### 03 Enterprise customers are a growing share of the base

Customers with >$100K ACV grew from 4,485 to 5,100, alongside 20,000+ total customers.

### 04 Delivery is shifting outside the organization

Okta expects professional-services revenue to decline as more engagements shift to partners beginning FY27.

Source: Okta, Inc. FY2026 Form 10-K, Item 1 (Business) and Item 7 (MD&A).

# Where is the operating model under strain?

## People

***Can the organization scale without proportional headcount growth?***

Revenue per employee rose 20% over three years, but FY26 marks a return to headcount growth after two flat years — the model has not yet been tested at this pace.

## Process

***Do cross-functional handoffs keep pace with go-to-market changes?***

Okta further specialized its sales organization by buying center (IT/security vs. developer) in February 2025 — a recent structural change that has not yet been stress-tested at scale.

## Governance

***Are decision rights and accountability clear as the org globalizes?***

International headcount grew from 33% to 44% of the workforce, increasing the number of geographies decision rights must now span.

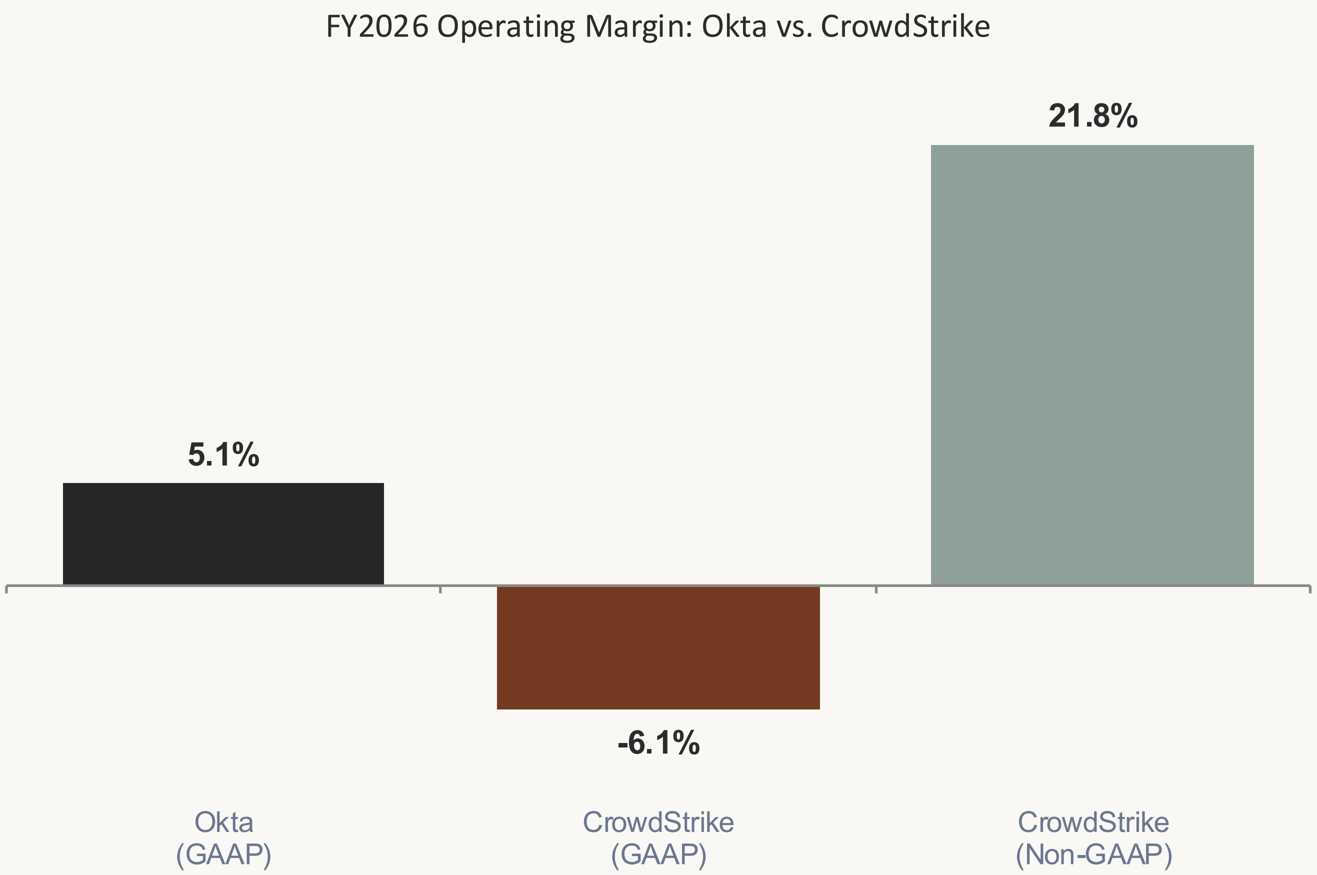
## Technology & Information

***Is delivery visibility keeping pace with the shift to partners?***

Professional-services revenue is expected to decline as engagements move to partners starting FY27, shifting delivery outside Okta's direct visibility.

Source: Okta, Inc. FY2026 Form 10-K, Item 1 (Business) and Item 7 (MD&A); company Excel model.

# Okta's profitability is real — but the efficiency gap to peers isn't closed




## Reading the comparison

CrowdStrike, Okta's closest scaled identity/security comp, grew revenue 22% to $4.81B in FY2026 but posted a GAAP operating loss — its reported profitability leans heavily on non-GAAP add-backs (largely stock-based compensation).

Okta's 5.1% GAAP operating margin is arguably a more durable signal than a headline opex-ratio comparison suggests. The open question for this case: how much of Okta's remaining opex ratio (72.3% of revenue) reflects real headroom versus already-lean operations — and that gap is where the recommendations on the following pages are aimed.

Sources: Okta FY2026 10-K; CrowdStrike Holdings FY2026 Q4/FY earnings release (SEC 8-K).

# A scalable operating model connects ownership, execution, and delivery visibility

| | | |
|---|---|---|
| 01 | **STRATEGY & OBJECTIVES** | Translate growth priorities into enterprise-wide operating goals |
| 02 | **GOVERNANCE & DECISION RIGHTS** | Clarify who decides, who owns, and how issues escalate |
| 03 | **CROSS-FUNCTIONAL EXECUTION** | Standardize handoffs across Sales, Customer Success, Product, and Operations |
| 04 | **PARTNER DELIVERY MODEL** | Define service levels, ownership, and controls for external delivery |
| 05 | **PERFORMANCE & DATA VISIBILITY** | Create consistent KPIs and management visibility across the model |

*Illustrative target state based on the case diagnosis; not presented as Okta's current internal operating model.*

## DESIGN PRINCIPLES

**PEOPLE:**

Roles and accountability scale with growth

**PROCESS:**

Critical handoffs are repeatable and measurable

**GOVERNANCE:**

Decision rights remain clear across geographies

**TECHNOLOGY & INFORMATION:**

Leaders retain visibility as delivery shifts to partners

01

# Simplify Governance

*Clarify decision rights, ownership, and accountability as the organization globalizes*

## Focus Areas

- Define clear decision ownership for enterprise deal approval and cross-border escalations
- Reduce unnecessary approval complexity across an increasingly international footprint
- Establish enterprise-wide governance standards and consistent performance accountability

**Why It Matters — 10-K Evidence**

*International employees grew from 33% to 44% of the workforce in three years — governance built for a US-centered org now spans far more geographies.*

# 02 Strengthen Cross-Functional Execution

*Coordinate Sales, Customer Success, Product, and Operations for increasingly complex enterprise accounts*

## Focus Areas

- Establish clear cross-functional ownership for accounts spanning Okta and Auth0 buying centers
- Standardize critical handoffs introduced by the February 2025 go-to-market specialization
- Align functional KPIs to enterprise objectives and improve execution visibility

**Why It Matters — 10-K Evidence**

*Okta further specialized its sales organization by buying center in February 2025 — a structural change that creates new coordination points on multi-product accounts.*

# 03 Scale Through the Partner Ecosystem

*Build a structured operating model for delivery increasingly performed by external partners*

## Focus Areas

- Define partner governance, ownership, and service-level expectations before FY27 volume arrives
- Implement partner performance measures and consistent customer-experience standards
- Build visibility into partner-delivered engagements to replace direct delivery oversight

**Why It Matters — 10-K Evidence**

*Okta's own 10-K flags that there may not be enough qualified implementation partners available to meet customer demand — this is a disclosed risk, not a hypothetical.*

# A focused KPI set turns recommendations into a measurable transformation

01

## SIMPLIFY GOVERNANCE

### Potential KPIs

- Decision Cycle Time
- Escalation Resolution Time
- % Critical decisions with a defined owner
- Approval layers per critical process

*Baseline during Assess; set targets after internal validation.*

02

## CROSS-FUNCTIONAL EXECUTION

### Potential KPIs

- Critical handoff cycle time
- Cross-functional SLA attainment
- Enterprise account issue-resolution time
- Retention/expansion indicators

*Baseline during Assess; set targets after internal validation.*

03

## PARTNER ECOSYSTEM

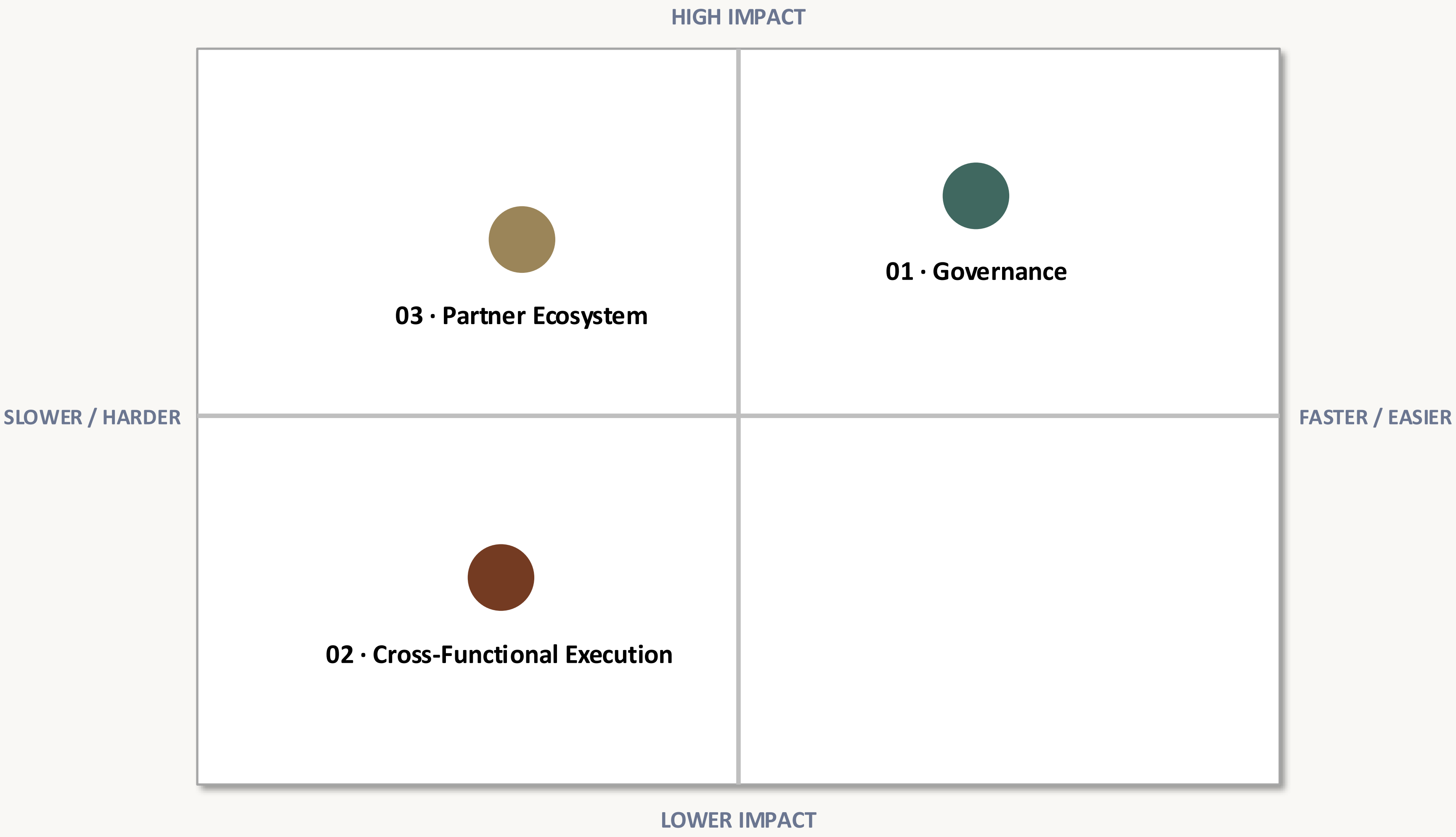
### Potential KPIs

- Partner SLA attainment
- Implementation cycle time
- Partner-delivered customer satisfaction
- Escalation and rework rate

*Baseline during Assess; set targets after internal validation.*

*Illustrative measures only. Specific targets require internal baseline data and leadership agreement.*

# Sequence by impact and speed — not by list order




## Sequencing logic

Governance is high-impact and fast — primarily a decision-rights exercise, so it leads. Partner Ecosystem is also high-impact but slower to stand up; it's prioritized early anyway because Okta's own 10-K flags FY27 delivery volume shifting to partners now. Cross-Functional Execution follows once governance provides clear ownership to coordinate around.

Illustrative prioritization based on case diagnosis; not derived from internal Okta data.

# A phased path from assessment to scale

1

2

3

4

### Assess

**0–30 Days**

Validate process ownership, decision rights, pain points, and baseline performance.

### Design

**30–90 Days**

Develop target operating model, governance structure, and accountability framework.

### Pilot

**3–6 Months**

Test redesigned processes and governance within selected functions.

### Scale

**6–12 Months**

Expand successful changes and establish continuous performance monitoring.

# Potential Value from Improved Operating Efficiency

**FY26 BASELINE**

**72.3%**
OPEX as % of revenue

**$2.92B**
FY26 Revenue

| Sensitivity: Reduction in OPEX as % of Revenue | Implied annual OPEX impact |
|---|---|
| 1 point | ~ $29M |
| 3 points | ~ $88M |
| 5 points | ~ $146M |
| 7 points | ~ $204M |

Illustrative sensitivity analysis based on FY26 revenue. Shows the theoretical impact of reducing Opex as a percentage of revenue; does not estimate savings attributable to the proposed initiatives.

# Data & Methodology

- This is an independent consulting case study developed using publicly available Okta financial and company information.
- Financial and operating data are sourced primarily from Okta's FY2026 Form 10-K (SEC EDGAR).
- Competitive benchmarking data is sourced from CrowdStrike Holdings' FY2026 earnings release (SEC Form 8-K).
- Any internal operating-model scenarios, prioritization placements, or value-at-stake estimates are illustrative and are not presented as actual Okta internal data, targets, or guidance.
- This project is not affiliated with or endorsed by Okta, Inc.

# Tools & Methods

Business Strategy · Operating Model Design · Financial Analysis · Competitive Benchmarking · Process Improvement · Transformation Strategy · Excel · Executive Communication